GMS WEEKLY

Your Source for Recycling News

August 16th, 2024
Week 33
Volume 263, Issue 1147

Highlights:

- **Two waves?**
- **Life-sustaining.**
- **Meagre sales.**
- **Chinese Imports.**
- **M&M Holiday?**
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QUOTE of the WEEK

"The past is a movie to remember, not relive."

– Unknown

-- MARKET COMMENTARY --

SILENT HILL!

Amidst an uncertain and tense week in the Middle East where the world anxiously awaited Iran's attack on Israel for the recent assassination of Hezbollah's leader at the IRGC guesthouse in the heart of Tehran, global intelligence sources are reporting of an imminent two-wave attack against Israel i.e., not only is Hezbollah expected to trigger the first wave of (largely missile) attacks, but Iran is expected to dig deeper in via a second wave on the back of an assured Israeli retaliation that the IDF vows will be disproportionate to the level of incoming attacks, including just how soon this will all unfold given that Hezbollah and Iranian leaders disappointingly miss key mediations in Qatar this week. Down South, even the Houthis remain suspiciously silent as the world braces for an escalation in the region while international intervention pushes for peaceful resolve. Brewing in it is news of President Putin possibly 'removed' due to Ukraine's successful invasion of "Mother Russia", resulting in freight sectors still performing unseasonably & unrelentingly well amidst all the unfolding crises that are still choking global ship recycling nations out of life-sustaining tonnage.

Consequently, we continue to see world economies trudge silently up this unnecessary hill of economic instability that started with a massive backlog in global trade and drove inflation up since the onset of Covid-19, which was further exacerbated by the attacks on and even sinking of merchant vessels in the Red Sea Lanes. 2024 summer is certainly unfolding into a horror movie where levels across the board remain calamitous due to nervous sentiments, political instability, violently shaky fundamentals across the board, and possible war.

As Cheaper Chinese steel imports cause concerns in India and Pakistan again, further anti-dumping duties are clearly needed in order to curb cheaper steel imports from undercutting inventories at domestic ship recycling yards, further creating economic hurdles for local ship recyclers. As such, a meagre collection of poorer condition Far Eastern built & owned vessels has been concluded below USD 500/LDT, as the markets take stock of events expected to unfold over these summer months. On the local markets front, we see a modicum of stability return to Bangladesh as PM Hasina flees the country and the military temporarily takes charge, India was greeted with a minor yet welcome surprise in fundamentals, Pakistani Buyers dropped back down the market rankings again, and Turkey continues to suffer silently, week after week. Vessel offers therefore remain tentative and nearly nonexistent from certain recyclers who are reevaluating the markets based on unfolding sentiments, domestic fundamentals, and global events, before committing firmly on price again. For now, the Middle East & Monsoon Rains (M&Ms?) intend to keep the global ship recycling community on a forced holiday.

For week 33 of 2024, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	*Shaky*	500 / LDT	520 / LDT	530 / LDT
2	India	Uncertain	490 / LDT	510 / LDT	520 / LDT
3	Pakistan	Declining	480 / LDT	500 / LDT	510 / LDT
4	Turkey	~~Dead~~	360 / LDT	370 / LDT	380 / LDT

BANGLADESH

HARD TO CALL!

Shocking unrest.

As Bangladesh recovers from the recent shock resulting from the riots and ensuing chaos across the nations that saw hundreds of (primarily) student protestors lose their lives on the back of a "quota" modification on future government jobs that was set in place by the current administration under PM Sheikh Hasina who fled the country a couple of weeks ago, the nation continues to limp through the formation of an interim government and the military retains control in an attempt to uphold law and order across a country beset by violent riots, and it will be some time before the makeup of the incoming cabinet will be realized and what new policy changes will be implemented at the onset, as the nation looks to stamp out purported corruption witnessed amidst the ranks during the short-term tenure of the now-defunct regime.

Volatile moment.

During the transitional period, government bodies continue to face mounting operational disruptions as various departments remain out of commission due to the recent chaos, abrupt change to the country's leadership, and key officials associated with the ousted government having been reassigned to different posts or even going into hiding to avoid any possible reprisals against them. As the nation has and continues to stagger through crippling internet / telecom outages in an attempt to maintain law & order, there remains little to show for what clearly remains a fractured Chattogram ship recycling market today, with very few owners and cash buyers willing to consider Chattogram waters under the current climate, especially with Force Majeure conditions ripe for the picking and the certainty of facing problems upon arrival due to constantly weaker prices on show including ease of L/C issuances, which also remain difficult to ascertain at this time.

Force Majeure ripe.

Locally, we have seen negotiations at the bidding tables predominantly spearheaded by a couple of Chattogram buyers who have ready L/C limits and are available to conclude units. A wider net of potential buyers does remain available but are handicapped / fearful of committing fresh units due to financial restrictions of their own, the unstable political climate, and the risks associated in opening an L/C on an incoming vessel, all at time when Bangladesh is struggling with even basic communication hiccups, which is resulting in a contraction of business activities and a general uncertainty about the local market. As such, Chattogram Choppers have turned Far Eastern tonnage into a serial dating affair as the regular inflow of petite (small-LDT) Far Eastern ladies continues to keep local port position sufficiently satiated for a short-term (recycling) affair, at least until the next one is ready for delivery. Interestingly, a large LDT tanker also took centre stage at the waterfront.

Petite LDTs.

Finally, as local fundamentals remain shaky weak – the USD ending the week against the Bangladeshi Taka at the same level as close of business last week in addition to local steel plate prices that remain dead on the floor due to a total halt in local trading – they (fundamentals) were the last thing on the minds of local recyclers who are simply trying to stay safe through the violence.

NO MARKET SALES REPORTED

INDIA

INDIA…OH INDIA!

India's ship-recycling sector has turned into the schoolyard kid who's currently being bullied at the bidding tables via a lacklustre showing on account of an unsatisfactory FY budget, incessant volatility in prevailing fundamentals, and increasing imports of cheaper Chinese steel to compensate for the shortage of ships steel that hasn't been as readily available to local steel mills over the last year or so, and this continues to cause consternations to buyers in the largest ship-recycling destination in the world.

Causing consternation.

As prices dither and slip, domestic fundamentals have been key in navigating the current course of Alang's vessel pricing (as they logically should), one that stands feeble in the face of competition from neighbouring Pakistan, especially if a vessel of a 'Gadani interest' perks into the market. Most Alang Recyclers are therefore content to evaluate global and domestic developments rather than throwing themselves into negotiations on the few available units that will more than likely head Pakistan's way, unless a Reefer or Stainless-Steel unit or HKC only vessel is offered for sale.

USD 60/Ton.

Locally, fundamentals have taken centre stage of late seeing how Indian steel plate prices finally halted a week's long decline that saw about USD 60/Ton wiped off their levels, and mercifully even recorded a minor, yet optimistic bump via a marginal improvement as the week ended. Even the Indian Rupee strengthened nearly 10 basis points against U.S. Dollar ending the week slightly firmer, yet at a record low INR 83.87.

Alang's anchorage also confirms the ongoing state of affairs as just like their Bangladeshi brethren who have found the inner circle to Far Eastern ladies (geography folks, it's all it is), Indian ship recyclers have found their "in" with the fishing community who continue to setup the décor for Alang's anchorage week after week, delivering either another reefer or trawler or even the occasional bulk carrier (at large) that couldn't have been diverted to Gadani shores at present, and for whatever reason.

Geography, folks.
Dither & slip.

On the limp and trying to find its footing post-election & post-budget, the Indian market has one nostril above the waterline, staying afloat off the ration of vessels that the world crises can afford to deliver at this precarious time.

Limping.

NO MARKET SALES REPORTED

PAKISTAN

WAAAAAH!

Through the holster.

Despite relevant fundamentals playing a far more impressive role than this markets current ranking placement would seem to indicate, Gadani recyclers continue to place the local mindset through a blender of hopelessness as this week, (comparatively more) satiated buyers managed to navigate local offers to the bottom of the market rankings on the back of a decades old strategy that involved positioning local offers ever so slightly below the competition, while simultaneously ignoring what they can actually afford to pay on the basis of their own fundamentals.

As such, despite having the capacity to be the pricing titans of the ship recycling world, Gadani buyers have elected to let a satiated mindset lead the present without realizing that if the floodgates for tonnage do open, they stand to suffer from the results of a self-inflicted gunshot through the holster, especially from a competing India and especially if Pakistani steel plate prices stay flatlined despite being the industry's firmest, at USD 735/Ton, which is well over USD 200/Ton above those from India and just about USD 180/Ton above those from Bangladesh. Moreover, the Pakistani Rupee also remained steady at the same levels as close of business last week i.e. PKR 278.46 against the U.S. Dollar, offering a greater sense of stability to local recyclers, who themselves seem less worried about potential L/C restrictions in the country.

Chinese wrestling.

Moreover, and similar to Indian recyclers are their Pakistani counterparts who are also facing the recent import onslaught of cheaper Chinese steel that could result in disruptions similar to those being faced in India, but are unable to do so in Pakistan given that Gadani recyclers are confident to snag any vessel of local interest away from neighboring India – for the time being and should such a vessel come around. Moreover, despite the supply of vessels being inadequate, given the amount of tonnage this market has already taken in so far this year and continues to do so (including this week), it is hardly a surprise to see such a laidback attitude from Pakistan over the recent past. Speaking of deliveries, another juicy sized bulk carrier and a small sub-2K LDT bulker were declared at Pakistan's recycling waterfront this week, as the comparatively smaller Pakistani ship recycling community is clearly in a comfortable place at the present time.

Little hope.

As such, with the global clock ticking ever so closer to war in the neighboring region and nearly 7 Quarters of diminished supply of recycling tonnage being omnipresent, there seems little hope that Gadani will get back to any serious form of buying any time soon, as a lack of interest in seriously competing, and the revival of the perennial complaints highlights the hallmarks of dealing with the Gadani market.

NO MARKET SALES REPORTED

TURKEY

ZIPPED UP…

… and tucked away, is all we can report from Turkey this week. The unfolding mess in the region will do little to help President Erdogan's decision in supporting Iran over the West and with the way things are unfolding, Turkey may be in for a surprise that's not entirely economically kosher.

62% inflation.

And the signs are lingering as the Lira sinks another 0.5% against the U.S. Dollar, wrapping up the week at TRY 33.48, import & local steel plate prices remain in shambles, tonnage availability remains a mystery, and the nation continues to suffer though shocking inflation that is presently sitting at about 62% through July, a merciful decline from 71% recorded in June. *(Source: Google Gemini)*

NO MARKET SALES REPORTED

'EYE' OPENING FACTS

- *You spend around 10% of your day with your eyes closed blinking*
- *You blink around 12 times every minute*
- *Your eye is the only part of the body that doesn't need to warm up, it's on the ball and ready to go 24/7*
- *Your eyes can heal themselves extremely quickly! With proper care it only takes 48 hours for the eye to repair a corneal scratch*
- *To give you the ability to see takes about half of your brain power.*
- *Newborn babies don't actually produce tears till they are about 4-13 weeks old, till then they make crying noises but the tears don't actually flow*
- *Across the globe there are around 39 million people who are blind and roughly 6 times that many have some form of vision impairment*
- *Doctors have not yet been able to carry out a successful eye transplant as the optic nerve connecting the eye to the brain is too complex to reconstruct*
- *The cells in your eye come in different shapes. Rod-shaped cells allow you to see shapes, and cone shaped cells allow you to see colour*
- *Your eye is about 1 inch across and weighs about 0.25 ounce.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
August 15 – Independence Day August 26 – Janmashtami September 08 – Ganesh Chaturthi	August 17 – August 26 August 31 – September 06 September 15 – September 24

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
August 26 – Janmashtami September 16 – Eid Milad-Ul-Nabi	August 19 – August 22 September 02 – September 05 September 17 - September 20

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in August September 16 – Mid-Autumn Festival	August 14 – Independence Day September 16 – Eid Milad-Ul-Nabi	August 30 – Victory Day **No Holidays in September**

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of August 16, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Ossora	937	Fishing Vessel	Arrived August 16
2	Ruda	5,728	Bulk Carrier	Arrived August 14
3	*Tropica Sky*	*5,358*	*Reefer*	*Delivered August 10*
4	Tweedia	3,064	Reefer	Arrived August 14
Total Tonnage		**15,087**		

CHATTOGRAM - Port Position as of August 16, 2024

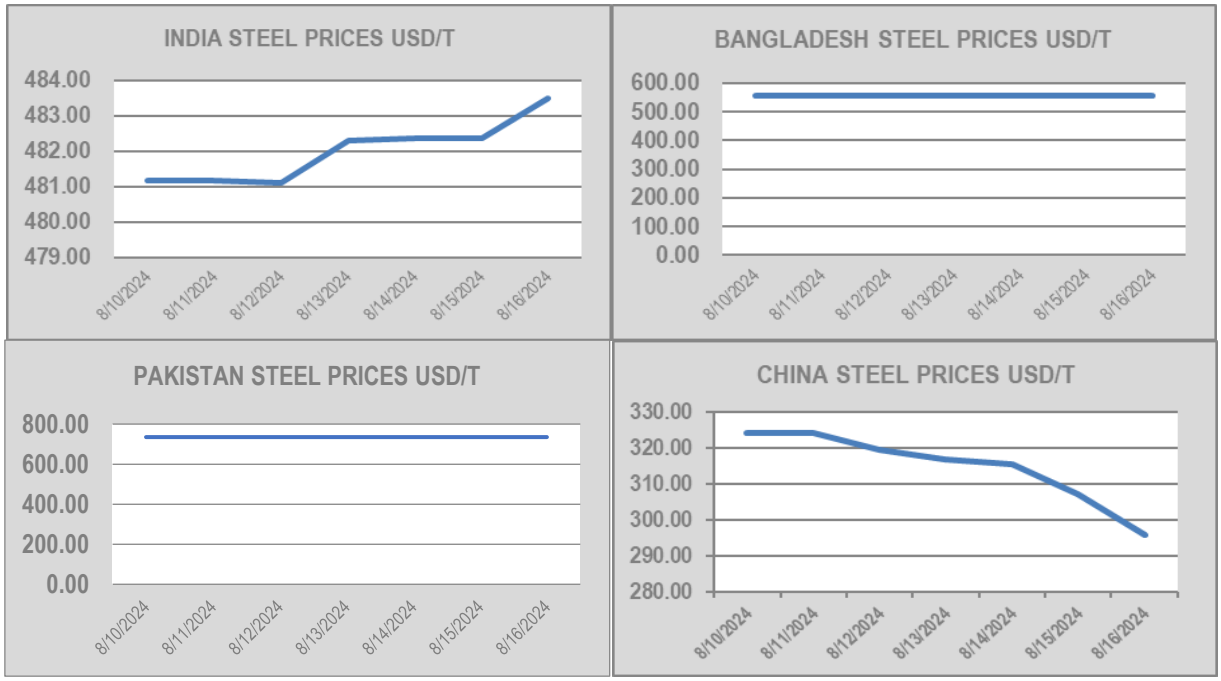
No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Hai 351*	*4,352*	*Bulk Carrier*	*Delivered August 16*
2	Indu	16,696	Tanker	Arrived August 11
3	*Ming Jin 1*	*3,278*	*Bulk Carrier*	*Delivered August 14*
4	*Zhao 11*	*2,889*	*General Cargo*	*Delivered August 15*
Total Tonnage		**27,215**		

GADANI - Port Position as of August 16, 2024

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Moshtaraka 2	14,398	Bulk Carrier	Arrived August 09
2	Sea of Waves	1,037	Bulk Carrier	Arrived August 12
Total Tonnage		**15,435**		

WHILE EXTREME CARE HAS BEEN TAKEN IN THE PREPARATION OF THIS REPORT, NO LIABILITY CAN BE ACCEPTED FOR ANY LOSS INCURRED IN ANY WAY WHATSOEVER BY ANY PERSON RELYING ON THE INFORMATION CONTAINED HEREIN.

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
8/10/2024	481.18	40,400.00	735.03	205,000.00	555.56	65,000.00	324.48
8/11/2024	481.18	40,400.00	735.03	205,000.00	555.56	65,000.00	324.48
8/12/2024	481.12	40,400.00	735.03	205,000.00	555.56	65,000.00	319.77
8/13/2024	482.32	40,500.00	735.03	205,000.00	555.56	65,000.00	316.88
8/14/2024	482.37	40,500.00	735.03	205,000.00	555.56	65,000.00	315.76
8/15/2024	482.37	40,500.00	735.03	205,000.00	555.56	65,000.00	307.43
8/16/2024	483.51	40,600.00	735.03	205,000.00	555.56	65,000.00	295.95



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